

Alpha Financial Markets Consulting UK Limited

Annual report and financial statements

Registered number 04710715

31 March 2024

THURSDAY



ADIAQBT4

A30

19/12/2024

#18

COMPANIES HOUSE

Contents

Company information	1
Strategic report	2
Directors' report	5
Statement of Directors' responsibilities in respect of the strategic report, the Directors' report and the financial statements	7
Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited	8
Profit & loss account	11
Balance sheet	12
Statement of changes in equity	13
Notes to the financial statements	14

Company information

Directors	JC Paton S McNulty GA Cook S Peacock
Company number	04710715
Registered office	60 Gresham Street London EC2V 7BB United Kingdom
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS United Kingdom
Bankers	Lloyds Bank plc 25 Gresham Street London EC2V 7HN United Kingdom HSBC Bank UK plc 1 Centenary Square Birmingham B1 1HQ United Kingdom

Strategic report

Business review

For the year ended 31 March 2024 (FY 24¹), the Company recorded revenue of £74,569,000 (FY 23: £75,178,000). Gross profit reduced to £25,445,000 (FY 23: £29,602,000), reflecting increased headcount and lower consultant utilisation levels than target, particularly in the insurance consulting team, alongside consistent day rates and active management of variable costs. Profit after tax was £6,284,000 (FY 23: £14,687,000), after deducting increased administration expenses and the tax charge for the year. The Company's team of consultants (including external contractors) increased in the year, closing at 317 at the year end (FY 23: 280), primarily due to increased use of external contractors, offset by a limited number of redundancies given UK market conditions. This was a very difficult decision, however it is one that we felt was commensurate with the levels of demand and key to achieving more normal levels of utilisation and profitability. Trade receivables increased to £10,097,000 compared to £7,831,000 in FY 23, reflecting an increase in debtor days from 38 days to 49 days; however debtor collections continued to be strong. Cash and cash equivalents reduced to £1,686,000 (FY 23: £2,735,000), while net current assets increased to £3,915,000 (FY 23: £3,236,000). There are no concerns about the recoverability of receivables. During the year, an ordinary dividend payment totalling £8,000,000 (FY 23: £11,000,000) was made to the Company's sole shareholder, Alpha Financial Markets Consulting Group Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

Key performance indicators

The Directors monitor performance on a monthly basis using a range of financial and non-financial metrics. Working capital management is a key indicator which is reviewed on a frequent basis to monitor cash flow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group² undertaking and compare actual performance against budget. Costs, utilisation, and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

The principal risks and uncertainties faced by the Company are outlined below:

- **Macro** – risk that wider market, economic, commercial and financial risks can impact the Company's ability to service clients, their demand for consultancy and technology services and, therefore, the Company's own performance and financial position.
- **Geopolitical** – risk that external events and crises can bring significant uncertainty, volatility, and fragility to geopolitics and markets, which can impact both the Company's operating model, employees and ability to deliver on its strategic objectives.
- **Business strategy** – risk that the Company responds inadequately to changing market factors and/or opportunities, including technological advancements and disruptors. The success of the Company's strategy depends on anticipating changes and developing a proposition that best serves its clients.
- **Data security** – risk of cyber attacks, security breaches and data mishandling, leading to consequent risks to client data, loss of integrity or availability of core data.
- **Acquisition and integration** – risk of failure of the Company to select, complete and integrate businesses that contribute positively to the business model and growth strategy.
- **People** – risk of failure to attract, incentivise and retain the best people with the right capabilities across all propositions, levels and geographies. A failure to undertake effective succession planning for key roles could also adversely increase this risk and impact performance.
- **Quality of service** – risk of failure to maintain quality of service on client delivery engagements.
- **Competitors** – risk that a competitor or new entrant may be able to achieve success and win work from the Company's existing clients. Less mature or more specialist propositions, which the Company chooses to develop, may present less of a competitive advantage.
- **Regulatory environment** – risk that the Company does not successfully identify, address and/ or meet forthcoming regulation, or that the business model and strategy are materially impacted by legal and regulatory changes that restrict the service offering or access to key markets.

¹ FY 24 is the financial year covering the 12 months to 31 March 2024. By comparison, FY 23 is the previous financial year covering the 12 months to 31 March 2023; FY 25 is the subsequent financial year covering the 12 months to 31 March 2025.

² Group refers to the Company's ultimate parent as at 31 March 2024, Alpha Financial Markets Consulting plc, and its subsidiaries.

Strategic report (continued)

Principal risks and uncertainties (continued)

Further information on how the Company manages and mitigates these principal risks and uncertainties, is included on pp 57-60 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc.

Future developments

Although some challenges in the market environment remain, the Company has seen an uptick in client wins and consultant utilisation in the early part of FY 25. Long-term demand for the Company's services remains robust and is underpinned by ongoing structural drivers: growth in assets under management and insurance policies, regulatory demand, cost pressures, client and societal expectations and technology breakthroughs. With a strong and high quality sales pipeline, a compelling client proposition, market-leading consultants and clear strategic objectives, the Directors remain confident in the Company's prospects.

After the balance sheet date, in August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Furthermore, in September 2024, the Company acquired Bankside Financial Solutions Consulting Limited, a UK-based technology consulting firm. Further details on events after the reporting period are disclosed in note 18 to the financial statements.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way that they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under Section 414CZA of the Companies Act 2006.

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company operates. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens the Company's business relationships and decision making and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to the Company's business success. The Company is committed to providing a highly rewarding workplace, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication.

Clients

The Company's success is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. The Company works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Alpha is a growing, profitable business, committed to fostering the same growth and success within the communities in which it operates. As part of this engagement, the Company also considers its corporate responsibility and how to maximise the positive environmental and social impacts of its activities, and to minimise the downsides, giving a solid baseline for developing relevant action plans and targets.

Please refer to pp 34-35 of the Annual Report & Accounts 2024 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Strategic report (continued)

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2024:

Decision	Considerations
Issued the FY 23 annual report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
Agreed the FY 24 interim dividend payable to the Company's parent, Alpha Financial Markets Consulting Group Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting plc.
Undertook a scenario planning exercise to review the FY 24 forecast against prevailing market conditions.	To ensure the accuracy of forecast performance and consider potential outcomes against a range of market conditions.
Decided to make a limited number of redundancies to support affected areas of the business.	To support the business back to more normal levels of utilisation, while ensuring that affected employees were treated fairly and in accordance with the law.

By order of the Board.



Greg A Cook
Director

17 December 2024

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2024.

Principal activities

The principal activities of the Company continued to be the provision of consulting and related services to clients in the asset management, wealth management and insurance industries.

Results and dividend

The results for the year are set out in the Strategic Report on p. 2 and in the profit & loss account on p. 11. The Directors consider the current state of affairs of the Company to be satisfactory.

During the year, an ordinary dividend payment totalling £8,000,000 (FY 23: £11,000,000) was made to the Company's sole shareholder, Alpha Financial Markets Consulting Group Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

The Directors have not recommended the payment of a final dividend (FY 23: £nil).

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton
S McNulty
GA Cook
S Peacock

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 23: £nil).

Employee involvement

Details of how the Company engage with employees are set out in the Section 172 statement in the strategic report on p. 2.

Alpha is a Disability Confident Employer. It is Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is included on pp 46-51 of the Group's Annual Report & Accounts 2024, which are available on the Group's website.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware, and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

Directors' report (continued)

By order of the Board.

A handwritten signature in black ink, appearing to read 'Greg A Cook', written in a cursive style.

Greg A Cook

Director

60 Gresham Street

London

EC2V 7BB

United Kingdom

17 December 2024

Statement of Directors' responsibilities in respect of the Strategic report, the Directors' report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting UK Limited ("the Company") for the year ended 31 March 2024 which comprise the balance sheet, profit & loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

in accounting estimates and judgements such as share-based payment assumptions.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue;
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on p. 7, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants

East West,
Tollhouse Hill
Nottingham,
NG1 5FS

17 December 2024

Profit & loss account
for the year ended 31 March 2024

	Note	Year ended 31 March 2024 £000	Year ended 31 March 2023 £000
Revenue	2	74,569	75,178
Rechargeable expenses	2	(259)	(272)
Net fee income	2	74,310	74,906
Cost of sales		(48,865)	(45,304)
Gross profit		25,445	29,602
Administration expenses		(16,613)	(12,965)
Operating profit		8,832	16,637
Finance expense	6	(93)	(130)
Profit before taxation		8,739	16,507
Taxation	7	(2,455)	(1,820)
Profit for the year		6,284	14,687

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There was no other comprehensive income in either the current or preceding year and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet

as at 31 March 2024

	Note	As at 31 March 2024 £000	As at 31 March 2023 £000
Non-current assets			
Property, plant and equipment	9	280	361
Right-of-use asset	10	241	1,937
Amounts owed by Group undertakings	11	3,132	5,173
Deferred tax asset	8	2,871	2,786
Total non-current assets		6,524	10,257
Current assets			
Trade and other receivables	11	19,159	45,115
Cash and cash equivalents	12	1,686	2,735
Corporation tax receivable		613	-
Total current assets		21,458	47,850
Current liabilities			
Trade and other payables	13	(17,292)	(43,163)
Lease liabilities		(251)	(1,348)
Corporation tax payable		-	(103)
Total current liabilities		(17,543)	(44,614)
Net current assets		3,915	3,236
Total assets less current liabilities		10,439	13,493
Non-current liabilities			
Lease liabilities		-	(657)
Other non-current liabilities	14	(666)	(889)
Net assets		9,773	11,947
Capital and reserves			
Issued share capital	15	275	275
Other reserves		1,717	2,175
Retained earnings		7,781	9,497
Total shareholders' equity		9,773	11,947

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 17 December 2024. They were signed on its behalf by:



Greg A Cook

Director

Company registered number: 04710715

Statement of changes in equity

for the year ended 31 March 2024

	Issued share capital £000	Other reserves £000	Retained earnings £000	Total shareholders' equity £000
As at 1 April 2022	275	181	5,810	6,266
Total comprehensive income for the period				
Profit for the year	-	-	14,687	14,687
Transactions with owners				
Dividends	-	-	(11,000)	(11,000)
Current tax recognised in equity	-	722	-	722
Deferred tax recognised in equity	-	1,272	-	1,272
As at 31 March 2023	275	2,175	9,497	11,947
Total comprehensive income for the period				
Profit for the year	-	-	6,284	6,284
Transactions with owners				
Dividends	-	-	(8,000)	(8,000)
Current tax recognised in equity	-	115	-	115
Deferred tax recognised in equity	-	(573)	-	(573)
As at 31 March 2024	275	1,717	7,781	9,773

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

General information

Alpha Financial Markets Consulting UK Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 04710715 and the registered address is 60 Gresham Street, London, EC2V 7BB, United Kingdom.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

Basis of preparation

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, United Kingdom or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- The requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- The requirements in IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments;
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities; and
- The requirements of IFRS 7 Financial Instruments: Disclosures.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing borrowing facilities.

These financial statements have been prepared on a going concern basis. As at 31 March 2024, the Company had net current assets of £3.9m. The Company also has access, throughout the going concern period, to a revolving credit facility ("RCF") of £50.0m, through other Group companies, providing further liquidity. The Directors have considered the cash flow forecasts prepared for the wider Group, which support the ability of the Company to continue as a going concern. The Group prepared cash flow forecasts covering the going concern period, which have been revised to reflect the acquisition of the Group by Actium Bidco (UK) Limited after the reporting date, as disclosed in note 18, including the restructuring of the Group's financing arrangements through the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a base case, reflecting the Group's board approved budget for the going concern period, as well as a reasonably possible downside scenario. This downside scenario models a 20% reduction in Group forecast revenue with

Notes to the financial statements (continued)

1 Accounting policies (continued)

Going concern (continued)

some limited cost mitigants applied. These modelled mitigants consist of a hiring freeze alongside a partial reduction in the Group's discretionary profit share bonus payment budgeted for the FY 25 performance year, with the Group's underlying cost base unaffected. In this reasonable downside scenario, the Group has relied upon access to funding of up to £10.0m from the Group's available £50.0m RCF through the going concern period. No covenant breaches have been identified in either scenario.

The Directors consider this reasonably possible scenario and the sequence of events that could lead to it to be unlikely. There remains headroom on the Group's RCF to facilitate further liquidity, as well as scope for further mitigating cost actions to be taken on the underlying cost base, if required.

Following the acquisition of the Group by Actium Bidco (UK) Limited, it is anticipated that the Company will provide a guarantee in relation to the external debt held by Actium Bidco (UK) Limited. The Directors do not currently anticipate this guarantee to be called upon during the going concern period. The ability of the Company to settle its liabilities as they fall due within the going concern period may also depend on the Company's ultimate parent company not seeking payment of other liabilities owed by the Company to fellow Group companies. Whilst there is no absolute certainty regarding the continued financial support of the ultimate parent company, based on the information available at the date of approval of these financial statements, the Directors have no reason to believe that such support will not continue.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

Principal accounting policies

Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

Judgements

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the year ending 31 March 2024.

Revenue recognition

Revenue is the Company's most significant caption in the profit & loss account. Whilst the majority of the Company's revenue is contracted on a time and materials basis, the Company also has some fixed-price milestone contracts. The recognition of revenue on such contracts involves consideration of the detailed contractual terms against the requirements of IFRS 15. The key judgements include assessment of whether revenue should be recognised over time or at a point in time, and whether the performance obligations under the contract have been met at the balance sheet date, to best reflect the transfer of services through the life of each contract.

Estimates

The Directors have not identified any key estimates that are considered to have a significant risk of a material adjustment within the next financial year. However, the Directors have identified one other area of estimation uncertainty.

Share-based payments

As described in the accounting policy on employee benefits below, the Company receives recharged expenses relating to a share option scheme operated by the Company's ultimate parent. In the calculation of these amounts at a Group level, management has estimated the share-based payments expense under IFRS 2. In determining the share-based payment expense and the associated social security tax thereon, management has considered several internal and external factors to judge the probability that management and employee share incentives may vest and to assess the fair value of share options at the date of grant. Such assumptions involve estimating future performance, share price and other factors. The fair value calculations have been assessed by a third-party expert for reasonableness in the current and prior years.

Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its

Notes to the financial statements (continued)

1 Accounting policies (continued)

estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
Fixtures and fittings	3 - 4 years

Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

Leases

The Company leases office premises in various jurisdictions. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed. Leases may contain a break clause or options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied span anywhere between 12 months and 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and are excluded from the recognition of the lease under IFRS 16.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate ("IBR"), unless the interest rate implicit to the lease is available for use.

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the IBR is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions. In determining the IBR, the Company has made adjustments for relevant factors such as lease term, lease value, country and asset-specific considerations.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

When the Company revises its estimate of the term of any lease (for example, if a significant change in circumstances within the Company's control indicates a reassessment is appropriate), the Company adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs.

Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as "short-term leases", and those with a low value as "low-value leases". Consequently, no lease liability or right-of-use asset is calculated thereon. These leases are expensed in the profit & loss account. The Company also applies the practical expedient to combine leases with similar characteristics to a portfolio of leases for the purpose of applying the requirements of IFRS 16.

See note 10 for further details on the Company's leasing arrangements.

Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

Notes to the financial statements (continued)

1 Accounting policies (continued)

External borrowings

All loans and borrowings are initially recognised at fair value, equal to the value of amounts received. Borrowings are subsequently stated at amortised cost; any difference between the proceeds and the redemption value is recognised in the profit & loss account over the period of the borrowings using the effective interest method.

Impairment of non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or CGU is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the CGU); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in the profit & loss account. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amounts of other assets in the CGU (or group of CGUs) on a pro-rata basis.

An impairment loss is reserved if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior years are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Right-of-use assets are accounted for in line with the leases section above.

Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the profit & loss account as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the balance sheet.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the profit & loss account.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non-market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the profit & loss account, with a corresponding adjustment to the amounts owed to Group undertakings. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations in both the current and prior years have been externally assessed as reasonable in the circumstances.

After vesting, the Company's ultimate parent satisfies share option exercises either through the issuance of new ordinary shares, or through the transfer of existing shares held in the Company's EBT to the employee. Any share options not exercised upon vesting remain outstanding until the end of the contracted exercise period.

An associated employers' social security tax liability on these share options is accrued through the vesting period to align with the payment due upon exercise. The value of this liability at the balance sheet date is assessed by

Notes to the financial statements (continued)

1 Accounting policies (continued)

Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit & loss at the reclassification date.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Trade and other receivables

Trade and other receivables are recognised initially at fair value, equal to the transaction price and subsequently measured at amortised cost, less provision for impairment. The trade receivables balance recorded on the Company's balance sheet are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9. Bank overdrafts that are repayable on demand and are included as a component of cash and cash equivalents.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2024, the Company had no derivative financial instruments or designated hedge relationships. Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Employee benefits (continued)

reference to the estimated future share price on exercise, where applicable.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options. The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit & loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting plc shares. The Company has two distinct schemes, the 'Management Incentive Plan' ("MIP") and the 'Employee Incentive Plan' ("EIP"). These are described below.

The management incentive plan

The Group has a management incentive plan ("MIP") to retain and incentivise directors and senior management. The MIP consists of four parts: part A of which will enable the granting of enterprise management incentive and non-tax advantaged options to acquire shares; part B of which will enable the awarding of JSOPs; part C of which will enable the awarding of restricted stock units ("RSUs") for participants in the US; and part D of which will enable the awarding of RSUs in France (together the "options").

In prior years, the majority of options granted to certain directors and senior management of the Group were subject to the fulfilment of three or more of the following performance conditions: (a) the Group achieving adjusted EPS growth of 15.0% or more to trigger a maximum award, or 10.0% to trigger a 66% award, with a linear application of awards between these levels; (b) the Group achieving a total shareholder return ("TSR") over three years in excess of the mean TSR delivered by a peer group of comparable companies; (c) personal adherence to corporate values and risk policy; and (d) specific business unit EBITDA, or other personal targets and goals.

As disclosed last year, the Remuneration Committee approved performance conditions for FY 23 awards, which further modified the adjusted EPS growth range set out above to reflect the growth of the Group since AIM admission. The criteria for these share incentive awards to certain directors and senior management of the Group, depending on the individual and their role, include: (a) the Group achieving adjusted EPS growth of 11.25% or more to trigger a maximum award, or 7.5% to trigger a 66% award, with a linear application of awards between these levels; (b) personal adherence to corporate values and risk policy; and (c) specific business unit EBITDA, or other personal targets and goals. These criteria were also applied to FY 24 awards granted in the year.

Awards to senior management also contain a market condition requiring the Group to achieve a TSR over three years in excess of the mean TSR delivered by a peer group of comparable companies.

MIP awards have either nominal or minimal exercise price payable in order to acquire shares pursuant to options. MIP awards have either three- or four-year vesting periods from the date of grant and are usually equity settled.

The employee incentive plan

In addition to the MIP, the Board has previously put in place a medium-term employee incentive plan ("EIP"). Under the EIP, a broad base of the Company's employees has been granted share options or share awards over a small number of shares. The EIP is structured as is most appropriate under the local tax, legal and regulatory rules in the key jurisdictions and therefore varies between those jurisdictions. No EIP awards were made in the current or prior years.

Further disclosure of these schemes is provided within the Group's consolidated 2024 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Revenue recognition

Recognition of revenue and client billing

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Company's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses are the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company.

The Company delivers services that have no alternative use to the Company (advice to clients, reports, etc.) as the services are specifically tailored to clients' projects and scope of work. The significant majority of the Company's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. For such contracts, revenue is recognised over time, as consultant days worked are delivered. Modifications or extensions to such projects are recognised as services are delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed-fee projects is based on the satisfaction of performance obligations in line with contractual project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed-fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

For most fixed-fee milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are typically billed as contractual milestones are delivered and the right to payment exists. Contractual milestones are only treated as separate performance obligations by the Company when they are distinct from the other elements in the contract and could provide a benefit to the customer without further work being completed. In limited circumstances, revenue from fixed fee milestone projects is recognised over time where the Company has an enforceable right to payment for performance completed to date, before the contractual milestone has been fully delivered.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Recognition of contract receivables

Activity performance recognised as revenue in excess of invoices raised results in the recognition of a contract receivable, which is included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables.

Recognition of contract liabilities

Where amounts have been invoiced in excess of work performed and revenue recognised, the excess is a contract liability and is included within deferred income, valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs that are directly attributable to the delivery of services and supporting growth.

Rechargeable expenses, including travel and subsistence directly recharged to the Company's clients as part of revenue generation, are presented within the "rechargeable expenses" line within the Company's profit & loss account.

Capitalised contract fulfilment costs

Costs directly attributable to the fulfilment of unsatisfied or partially unsatisfied performance obligations on customer contracts are recognised as an asset where these costs generate or enhance resources of the Company and the costs are expected to be recovered. These costs principally relate to partially completed milestones on fixed-fee contracts. These costs are recognised in the profit & loss account at the point of revenue recognition.

Notes to the financial statements (continued)

1 Accounting policies (continued)

Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit & loss account.

Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Company undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

Taxation

Current and deferred tax is recognised in the profit & loss account, except in relation to share-based payments where the amount of the tax deduction exceeds the amount of the related cumulative share-based payment charge, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2024. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 17 Insurance Contracts, effective from 1 January 2023;
- Amendments to IFRS 17, effective from 1 January 2023;
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2), effective from 1 January 2023;
- Definition of Accounting Estimates (Amendments to IAS 8), effective from 1 January 2023;
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12), effective from 1 January 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – Application of the exception and disclosure of that fact, effective from 23 May 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – other disclosure requirements, effective from 1 January 2023; and
- International Tax Reform — Pillar Two Model Rules (Amendments to the 'IFRS for SMEs' Standard), effective from 29 September 2023 (not yet endorsed by the UK).

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2024.

Notes to the financial statements (continued)

1 Accounting policies (continued)

New accounting standards and interpretations (continued)

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Revenue

	FY 24 £000	FY 23 £000
Rendering of services	74,310	74,906
Rechargeable expenses	259	272
Revenue	74,569	75,178
	FY 24 £000	FY 23 £000
<i>By activity</i>		
Management consulting	74,569	75,178

3 Auditor's remuneration

Auditor's remuneration	FY 24 £000	FY 23 £000
Audit of these financial statements	138	109

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 24	FY 23
Administrative	6	8
Sales	262	225
Average number of employees in the year	268	233

The aggregate payroll costs of these persons were as follows:

	FY 24 £000	FY 23 £000
Wages, salaries and short-term benefits	32,147	29,763
Social security costs	3,686	3,228
Contributions to defined contribution plans	1,191	886
Total staff costs for the year	37,024	33,877

Notes to the financial statements (continued)

4 Staff numbers and costs (continued)

At the year end, 5,500,176 (FY 23: 4,521,331) share options over the equity in Alpha Financial Markets Consulting plc, the ultimate parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is one year. All share options outstanding at the year end date have a nominal exercise price. During the year 1,586,224 share options vested (FY 23: 1,127,488), of which 24,355 were exercised during the year. A further 208,690 share options were exercised in the year relating to awards that vested in the comparative period. The weighted average share price at the date of these exercises was £4.25. The Company has incurred a charge to the profit & loss account in FY 24 of £4,044,000 (FY 23: £3,342,000) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company, of which £587,000 (FY 23: £10,000) relates to associated social security taxes.

5 Directors' remuneration

Directors' remuneration

	FY 24 £000	FY 23 £000
Directors' remuneration	744	626
Gain on share option exercises	-	871
Company contributions to money purchase pension plan	10	6

During the year ended 31 March 2024, no directors providing material qualifying services exercised share options.

	Number of Directors	
	FY 24	FY 23
Benefits are accruing to the following number of Directors under:		
Money purchase schemes (retirement benefits)	1	1
Long term share incentive plan	2	2

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid director was £444,000 (FY 23: £1,284,000), of which £nil (FY 23: £824,000) relates to gains made on the exercise of share options. The value of the company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £nil (FY 23: £nil).

Amounts paid or payable to certain of the Company's Directors through other Group companies have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to other Group companies.

6 Finance expense

	FY 24 £000	FY 23 £000
Interest on amounts owed to Group undertakings	-	44
Interest on lease liabilities	93	86
Total interest payable	93	130

Notes to the financial statements (continued)

7 Taxation

	FY 24		FY 23	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		2,617		3,701
Payment for group relief		-		-
Adjustments in respect of prior periods		395		(331)
Foreign taxation		101		-
Total current tax		3,113		3,370
<i>Deferred tax (see note 8)</i>				
Origination and reversal of timing differences	(287)		(800)	
Effect of tax rate change on opening balances	-		-	
Adjustments in respect of prior periods	(371)		(750)	
Total deferred tax		(658)		(1,550)
Total tax expense for the year		2,455		1,820

The Finance Act 2022 increased the main rate of corporation tax in the UK to 25% from 1 April 2023. The deferred tax balances as disclosed in note 8 reflect this substantively enacted rate in the current and prior years.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 24	FY 23
	£000	£000
Profit before taxation	8,739	16,507
Tax using the UK corporation tax rate of 25% (FY 23: 19%)	2,185	3,136
Expenses not deductible for taxation	171	36
Income not taxable	(25)	-
Differences in respect of share options	-	(254)
Fixed asset differences	-	(17)
Adjustments in respect of prior periods	23	(1,081)
Foreign taxation	101	-
Total tax expense for the year	2,455	1,820

In addition to the tax expense for the year ended 31 March 2024, the Company has also recognised a total charge of £0.5m (FY 23: credit of £2.0m) of tax through equity, of which a £0.1m credit (FY 23: £0.7m) relates to current tax on the exercise of share options in the year and a charge of £0.6m (FY 23: credit of £1.3m) relates to deferred tax on share options outstanding.

Notes to the financial statements (continued)

8 Deferred tax

As at 31 March 2024

	1 April 2023	Recognised in income	Recognised in equity	31 March 2024
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(90)	20	-	(70)
Short-term timing differences	50	(27)	-	23
Share options	2,826	665	(573)	2,918
Net deferred tax asset	2,786	658	(573)	2,871

As at 31 March 2023

	1 April 2022	Recognised in income	Recognised in equity	31 March 2023
	£'000	£'000	£'000	£'000
Accelerated capital allowances	(51)	(39)	-	(90)
Short-term timing differences	15	35	-	50
Share options	-	1,554	1,272	2,826
Net deferred tax (liability) / asset	(36)	1,550	1,272	2,786

Deferred tax assets recognised within these financial statements mainly represent the future tax effect of share-based payment charges in respect of awards that have yet to be exercised or released. Deductions in excess of the cumulative share-based payment charge recognised in the profit & loss account are recognised in equity. Other deferred tax assets recognised relate to timing differences on deductions for tax purposes and as such there is no restriction on recoverability.

The Company has no unrecognised tax losses in addition to the deferred tax assets above (FY 23: £nil).

9 Property, plant and equipment

	Leasehold improvements £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
Cost				
Balance at 1 April 2023	202	1,163	158	1,523
Additions	-	103	11	114
Disposals	(202)	(637)	(117)	(956)
Balance at 31 March 2024	-	629	52	681
Depreciation and impairment				
Balance at 1 April 2023	(202)	(833)	(127)	(1,162)
Depreciation charge for the year	-	(188)	(7)	(195)
Disposals	202	637	117	956
Balance at 31 March 2024	-	(384)	(17)	(401)
Net book value				
Balance at 31 March 2024	-	245	35	280
Balance at 1 April 2023	-	330	31	361

Notes to the financial statements (continued)

10 Leases

Right-of-use assets

	Offices	Equipment under lease	Total
	£000	£000	£000
Net book value			
As at 1 April 2022	508	3	511
Additions	1,748	-	1,748
Depreciation charge	(319)	(3)	(322)
As at 31 March 2023	1,937	-	1,937
Additions	329	-	329
Effect of modifications to lease terms	(1,012)	-	(1,012)
Depreciation charge	(1,013)	-	(1,013)
As at 31 March 2024	241	-	241

The £1.0m reduction in right-of-use assets arising from modifications to lease terms relates to the early exit of an office lease in the year.

Amounts recognised in the profit & loss account

	FY 24	FY 23
	£000	£000
Depreciation of right-of-use asset	(1,013)	(322)
Short-term lease expense	(94)	(364)
Low-value lease expense	-	-
Variable service charges	(38)	(29)
Included in administration expenses	(1,145)	(715)
Interest expense on lease liabilities	(93)	(86)
Included in finance expenses	(93)	(86)

Total rental payments made in the year on all lease tenors amounted to £1.2m (FY 23: £0.7m).

Variable service charge costs associated with the Company's property leases representing potential future outflows relating to the lease arrangements are not included within the IFRS 16 lease liability.

The Company has given consideration to any extension options and early termination options with reasonable certainty at the date of signing these financial statements, and these have been reflected within the lease liability where appropriate.

The Company had no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the year ended 31 March 2024.

Notes to the financial statements (continued)

11 Trade and other receivables

	FY 24 £000	FY 23 £000
Trade receivables	10,097	7,831
Amounts owed by Group undertakings	6,787	33,482
Other receivables	318	448
Capitalised contract fulfilment costs	104	325
Prepayments and accrued income	1,853	3,029
Total amounts due within one year	19,159	45,115

Trade receivables are stated after provisions for impairment and expected credit losses of £186,000 (FY 23: £234,000).

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Contract receivables are recognised in accrued income and relate to satisfied performance obligations recognised and not invoiced at the year end. All such contract receivables are expected to be realised within one year and are classified within current assets. Contract receivables are recorded on a time spent basis and as performance obligations are met on agreed fees and day rates, billed in arrears. These are typically short-term timing differences which are administrative in nature at each year end date. Contract receivable payments are due on standard terms once the invoices are raised. The contract receivables movement in the year represents these timing differences across contracts at each year end.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. Otherwise the amounts are classified as non-current. As at 31 March 2024, amounts owed by Group undertakings of £3,132,000 (FY23: £5,173,000) are presented separately as non-current assets on the balance sheet. The reduction in amounts owed by Group undertakings is due to the settlement of balances during the year, with a similar reduction in amounts owed to Group undertakings.

12 Cash and cash equivalents

	FY 24 £000	FY 23 £000
Cash at bank	1,686	2,735
Cash and cash equivalents	1,686	2,735

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

13 Trade and other payables

	FY 24 £000	FY 23 £000
Trade payables	1,447	1,792
Amounts owed to Group undertakings	7,424	29,935
Taxation and social security	2,386	2,578
Social security tax on share options	954	493
Accruals and deferred income	5,081	8,365
Total amounts owed within one year	17,292	43,163

Trade payables comprise amounts outstanding for trade purchases and ongoing costs. The Directors consider that the carrying amount of trade and other payables is a reasonable approximation of their fair value. The Company's trade payables payment policy is to provide payment within the agreed terms, which is generally 30 days from the date of receipt of invoice.

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Notes to the financial statements (continued)

13 Trade and other payables (continued)

The reduction in amounts owed to Group undertakings is due to the settlement of balances during the year, with a similar reduction in amounts owed by Group undertakings.

Accruals decreased in the year, primarily reflecting the payment in the year of both the FY 23 profit share and the second tranche of deferred FY 22 bonus payments, as well as a lower performance-adjusted profit share accrual amounts for FY 24.

Deferred income recognises contract liabilities arising from the Company's revenue-generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed-fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end.

There are no material unperformed performance obligations relating to contracts in excess of one year at 31 March 2024 (FY 23: £nil).

14 Other non-current liabilities

	FY 24 £000	FY 23 £000
Other non-current liabilities	-	275
Social security tax on share options	666	614
Total other non-current liabilities	666	889

Other non-current liabilities fell to nil in the year as the remaining deferred element of FY 23 bonuses for certain directors and senior management now falls due within 12 months from the reporting date.

15 Capital and reserves

Share capital

	FY 24 £000	FY 23 £000
<i>Allotted, called up and fully paid</i>		
275,000 ordinary shares of £1 each	275	275
Balance at the end of the year	275	275

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

During the year, an ordinary dividend payment totalling £8,000,000 (FY 23: £11,000,000) was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 23: £nil).

16 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

17 Ultimate parent company

As at 31 March 2024, the ultimate parent company and controlling party was Alpha Financial Markets Consulting plc, a company incorporated in England and Wales.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom, or the website investors.alphafmc.com.

Notes to the financial statements (continued)

18 Events after the reporting period

Change in control of the Company following the acquisition of the Group by Actium Bidco (UK) Limited

On 19 August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Following this acquisition, the shares of Alpha Financial Markets Consulting plc were de-listed from AIM on 20 August 2024 and the company was re-registered as a private limited company under the Companies Act 2006. Actium Bidco (UK) Limited is a wholly owned indirect subsidiary of Actium Topco (UK) Limited, which is owned by certain funds managed by Bridgepoint Advisers Limited.

Settlement of share options held by the Company's employees in Alpha Financial Markets Consulting plc

As a result of the acquisition of the Company's ultimate parent company, Alpha Financial Markets Consulting plc, by Actium Bidco (UK) Limited, all unvested share options held by the Company's employees in Alpha Financial Markets Consulting plc vested early. Subsequently, 5.5 million share options were exercised, and the shares were purchased for an agreed price of £5.05 per share. Consequently, after the balance sheet date, in August 2024, the Company incurred a significant accelerated charge in relation to employer's social security taxes due on the exercise of these share options. Employer's social security taxes of £2.4m became due on exercise, compared to a total liability of £1.6m on the balance sheet as at 31 March 2024.

Furthermore, as vesting of these options was accelerated upon the completion of the acquisition, the Company also recognised a material share-based payment-related intra-group recharge in its profit & loss account of £3.8m in August 2024, amounting to the entire remaining charge for these share options.

Acquisition of Bankside Financial Solutions Consulting Limited

On 5 September 2024, the Company reached an agreement to acquire 100% of the issued share capital of Bankside Financial Solutions Consulting Limited, a UK-based technology consulting firm providing specialist data integration services to the asset and wealth management industry, on a cash-free, debt-free basis, for total consideration of up to £25.0m. Consideration of £6.2m was paid in cash on completion, with a further £2.0m payable on the first anniversary of the acquisition. The remaining amounts, of up to £16.8m, are contingent upon the performance of the Bankside Group against financial targets through a three-year earn-out period.

These events have not been adjusted for in the financial statements for the year ended 31 March 2024 as they resulted from conditions that arose after the end of the reporting period.